



UPM-Kymmene – Sappi joint venture

MN-30023

Phase 1 Determination

Acquisition may be put into effect

8 September 2026

1. Determination and statement of reasons

Notified acquisition	UPM-Kymmene Corporation (UPM) and Sappi Limited (Sappi) propose to create a 50:50 joint venture that will combine UPM's European and US communication paper business and Sappi's European communication paper business (Proposed JV). The establishment of the Proposed JV involves several related acquisitions of shares or assets by new and existing UPM and Sappi entities, following which UPM and Sappi would each hold 50% of the share capital in a new company (TopCo). This is collectively referred to as the Acquisition.
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	UPM is a Finnish-based global material solutions company that develops, produces, and markets a wide range of products including communication paper (i.e. paper designed for printing and writing, which is used in magazines, newspapers, catalogues, books, advertising materials, envelopes, and home and office paper) and specialty paper (i.e. paper products generally used in labelling and packaging applications). UPM supplies Australian customers with the following imported communication paper products: • newsprint • magazine paper (coated mechanical paper and supercalendered paper), and • fine paper (woodfree coated paper and woodfree uncoated paper). Sappi is a South African-based global manufacturer of everyday materials made from wood fibre-based renewable resources, including communication paper and speciality paper. Sappi supplies Australian customers with the following imported communication paper products: • magazine paper (coated mechanical paper only), and • fine paper (woodfree coated paper and woodfree uncoated paper). Neither UPM nor Sappi owns or operates any paper mills in Australia. The Proposed JV will combine UPM's European and United States communication paper business and Sappi's European communication paper business (both UPM and Sappi will retain certain communication paper assets outside Europe). The Proposed JV will also have some limited ancillary activities in specialty paper. The Proposed JV will operate predominantly in the European Economic Area, with significant activities in the United Kingdom and the United States as well as exports to third countries, including Australia.
Overlap between the parties	UPM and Sappi (together, the Parties) overlap in the supply of the following types of communication paper products to customers in

	Australia: • coated mechanical paper • woodfree coated paper, and • woodfree uncoated paper. The Australian Competition and Consumer Commission (ACCC) has not reached a concluded view on market definition given that, based on the information available, it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market whether a narrow or broad product market definition is adopted.
Reasons for determination	When making a determination in Phase 1, ACCC undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form and information from third parties. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings: • While the Parties are key suppliers of certain types of coated mechanical paper to Australian customers, there is a degree of substitutability between different types of communication paper. In particular, the availability of woodfree coated paper may in some circumstances be an alternative to the relevant types of coated mechanical paper, providing an effective competitive constraint. • Post-Acquisition the Proposed JV and the Parties would continue to face competition from alternative suppliers of the various relevant communication paper products, including importers. While some market participants suggested the Acquisition would reduce Australian customers' choice of suppliers for certain types of coated mechanical paper, alternative overseas-based suppliers were identified. • Sappi has a limited presence in Australia.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition

	Tribunal.
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**Determination made by a division of the Commission constituted by a direction issued
pursuant to a section 19 of the Act**